



Livestock Insurance - An introduction

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Table of contents

1. [Livestock Insurance](#)
 - i. [21.01 Lakh](#)
 - ii. [26.5 Crore](#)
 - iii. [15%](#)
2. [The Scheme at a Glance](#)
3. [Premium & Subsidy Structure \(Updated 2025\)](#)
 - i. [Earlier \(pre-2025\) Subsidy Pattern - for reference and example only](#)
4. [What the Policy Covers](#)
5. [Identification of Animals & Claim Procedure](#)
6. [Steps Being Taken to Expand Coverage](#)
7. [State Spotlight — Bihar's Pashu Bima Yojana](#)

Livestock Insurance

21.01 Lakh	26.5 Crore	15%
Livestock insured in financial year (2024–25)	Households in India owning livestock/poultry (20th Livestock Census)	Beneficiary premium share now, down from 20–50% earlier

Livestock rearing sustains crores of rural households across India, providing supplementary income and a cushion against the uncertainties of crop farming. Yet the death of even a single milch animal can push a family into financial distress. The Livestock Insurance Scheme, implemented as a component of the National Livestock Mission (NLM), exists precisely to soften this blow by compensating farmers when an insured animal dies of disease, accident, or other covered causes.

The Scheme at a Glance

- Implemented as part of the Risk Management component under the National Livestock Mission (NLM), operating on a demand-driven basis - States send proposals to the Department, which the Department is actively encouraging so that more livestock can be brought under cover.

- One "cattle unit" (the basic unit of coverage) is defined as: 1 cattle, OR 1 buffalo, OR 10 sheep, OR 10 goats, OR 10 pigs.
- Subsidy benefit is available for up to 5 cattle units per beneficiary, for a policy period of one year or three years.
- Animals covered include indigenous, exotic and cross-bred milch cows and buffaloes, calves/heifers, stud bulls, bullocks, sheep, goats, pigs, and (under related schemes offered through insurers) horses, ponies and mules.
- Age criteria for coverage: milch cattle/buffaloes between 2.5 and 8 years; sheep and goats between 1 and 3 years; pigs between 1 and 5 years.

As per the 19th Livestock Census, India has 10.08 crore households owning livestock and/or poultry. The Department does not separately maintain data on how many people depend on livestock for their livelihood - the census figure is the closest official indicator of the scheme's potential reach.

Premium & Subsidy Structure (Updated 2025)

To make the scheme more attractive and affordable, the beneficiary's share of the premium for all categories of farmers and all areas has been reduced to a flat 15%, replacing the earlier slab that ranged from 20% to 50%. The remaining premium is shared between the Central and State Governments as follows:

Area / Category	Centre : State Share	Beneficiary Share
Hilly and North-Eastern States	90 : 10	15%
States other than Hilly / North-Eastern	60 : 40	15%
Union Territories (UTs)	100% Centre	15%

Earlier (pre-2025) Subsidy Pattern - for reference and example only

Under the scheme's earlier design (as documented under NLM guidelines and independent field studies), the subsidy varied by the farmer's economic category and region:

- **BPL (Below Poverty Line) beneficiaries:** 70% subsidy in normal areas, 80% in the Nilgiris district.
- **APL (Above Poverty Line) beneficiaries:** 50% subsidy in normal areas, 60% in the Nilgiris district.

This slab-based structure has now been superseded by the flat 15% beneficiary-share model described above, applicable uniformly to all categories and areas since the 2025 reform.

What the Policy Covers

The policy indemnifies the owner for death of the insured animal arising from:

- Accident - including fire, lightning, flood, inundation, storm, hurricane, earthquake, cyclone, tornado, tempest and famine.
- Diseases contracted or occurring during the policy period.
- Surgical operations.
- Riot and strike.

On payment of extra premium, cover can be extended to Permanent Total Disability (PTD) - incapacity to conceive or yield milk in milch cattle, incapacity for breeding in stud bulls, or incapacity for the stated purpose in bullocks, calves/heifers and castrated male buffaloes. PTD claims are indemnified up to 75% of the Sum Insured.

Major Exclusions

- Malicious or wilful injury, neglect, overloading, unskilful treatment, or use of the animal for a purpose other than stated in the policy without the insurer's written consent.
- Accidents occurring or diseases contracted before the risk commenced, and any disease-related claim arising within 15 days of the start of cover.
- Intentional slaughter, except on veterinary certification to end incurable suffering, or under orders of a lawfully constituted authority.
- Theft and clandestine sale of the insured animal.
- War and war-like perils, and any loss connected with nuclear weapons.
- Transport of the animal by air or sea; and any consequential loss.
- Claims received without the animal's ear tag "No Tag, No Claim."

Identification of Animals & Claim Procedure

Identification

- Every insured animal is tagged with a durable ear tag (or, where used, a microchip); the code is recorded on the Veterinary Health Certificate.
- Natural identification marks and colour are noted in the proposal form and the veterinarian's report.
- Photographs may additionally be required for high-value animals.

Claim Procedure (Death Claim)

1. Send immediate intimation of the animal's death to the insurer.
2. Submit a duly completed claim form.
3. Attach a Death Certificate from a qualified veterinarian, on the company's prescribed form.
4. Provide a post-mortem examination report, if called for by the insurer.
5. Surrender the ear tag applied to the animal - a claim will not be admitted without it. The Department requires that claim-settlement procedures be kept simple and expeditious; once the required documents are submitted, payment of the claim is expected within 15 days as per scheme guidelines.

Steps Being Taken to Expand Coverage

- Reduction of the beneficiary premium share to a flat 15%, as detailed in Section 2, to make the scheme more affordable.
- Awareness generation through seminars, farmer camps, publicity material and video conferences, with 100% central assistance provided to States for awareness and publicity under NLM.
- Regular Regional Review Meetings, at which States are directed to step up insurance coverage.
- Development of a dedicated online portal to make implementation of the livestock insurance programme more transparent and efficient.
- States are being encouraged to submit more proposals, since the scheme operates on a demand-driven basis and coverage expands only as States come forward.

State Spotlight — Bihar's Pashu Bima Yojana

- **Implementing agency:** Directorate of Dairy Development, Government of Bihar, through District Dairy Development Officers in every district.
- **Purpose:** financial security to dairy owners against losses from Lumpy Skin Disease, Haemorrhagic Septicaemia, Black Quarter (HS, BQ) and other causes of cattle death.
- **Coverage:** insurance of up to ₹60,000 per dairy cattle, available to livestock owners of all categories.
- **Subsidy:** The Government bears 75% of the premium amount.

Source

1. Ministry of Fisheries, Animal Husbandry & Dairying,
2. Government of India — "Livestock Insurance Scheme", Press Information Bureau (PIB) Delhi, 25 March 2025. Information given by Union Minister of State Prof. S.P. Singh Baghel in a written reply in the Lok Sabha on 25 March 2025.
3. Guidelines for Implementation of the Livestock Insurance Scheme, Department of Animal Husbandry, Dairying & Fisheries, Government of India (National Livestock Mission).

This bulletin is prepared for general public information and is based on official government press releases and scheme guidelines. Farmers should verify current terms, premium rates and subsidy patterns with their District Animal Husbandry Department or the implementing insurance company before enrolling.

source:

<https://data.vikaspedia.in/short/lc?k=imN6hqTXrNqQA8SOZQwGXw>

